complaint

Miss W complains that Covea Insurance Plc handled a claim unfairly and as a result she's required to pay a much higher excess under a home insurance policy.

background

There is a detailed claims history behind the complaint of which the parties are aware so, I will not go into everything in detail. Briefly, that there was a claim in 1998 which resulted in part of the property being under-pinned in 2002/3. Miss W noticed further cracks in her home around 2007 and in 2010 a claim was handled by Covea's loss adjusters (I'll call C). Before C got involved recommendations had already been made for a period of monitoring of the cracks.

C inspected the cracks but explained to Miss W at the time that they felt the cracks were *"indicative of differential movement between the two elements of the building following the exceptionally dry summer of 2009."* It's apparent that there were no detailed or explorative investigations by C at the time. Some superficial repairs were recommended but as they cost less than the £1,000 excess, Covea took no further action other than to record a subsidence claim. In 2011 Covea increased the policy excess for subsidence claims to £15,000.

Miss W continued to notice cracking in 2015/2016 and lodged another claim with Covea and C was appointed again to attend Miss W's home, which they did in 2017. Investigations started, and continue, and the front section of Miss W's home has been found to be suffering subsidence related damage. And it's believed that this is a result of a tree at the front of the property. Miss W is unhappy that she's required to pay a £15,000 excess as she believes Covea's investigation in 2010 was inadequate. She says an adequate investigation would have identified there was subsidence and she'd only have been required to pay a £1,000 excess.

One of our investigators explained why she thought Covea should be dealing with the current claim under the 2010 claim and so Miss W was liable for the £1,000 excess as opposed to £15,000. While she acknowledged C had said the ongoing issues weren't present in the 2010 claim she wasn't persuaded. She explained that a representative from C has subsequently said that the impact of the tree to the front of Miss W's home couldn't be ruled out as a cause of the cracking reported in 2010. And the investigator said as the investigation in 2010 wasn't in-depth or what was usual when subsidence was suspected, Miss W's position was prejudiced, in so far as they may have shown active subsidence and so her liability would have been £1,000 and not £15,000.

Miss W had also raised an issue with the cost of the insurance policy she says was impacted by Covea pricing the policy at the 2011 renewal because of subsidence in 2010, yet not dealing with her claim properly as a subsidence claim. But the investigator said Covea had priced the policy in line with its underwriting guidelines and the risk presented at the time. And indeed, she was satisfied that Covea had acted fairly given the real and present risk of subsidence which came to fruition.

Covea disagreed with the investigator explaining as follows:

- The original repairs completed in 2002/3 stood well for seven years,
- In 2010 the original engineers found no issue with the original repairs,

- A claim was registered as a precautionary measure and passed to new loss adjusters, C,
- The original engineers no longer had a commercial relationship with Covea as they were considered overly enthusiastic with costly investigations,
- C did find differential movement, but it wasn't getting any worse,
- It wasn't until 2017 that Miss W notified cracks re-appearing,
- A detailed inspection found additional cracking and it was considered to be a result of subsidence and a tree was implicated because of a hot summer in 2016,
- The tree has been removed and no further movement of significance has been noted,
- So, there are three claims, due to three causes and Covea doesn't accept CUE should be amended to note two claims, or that Miss W should not pay the £15,000 excess.

Covea asked for an ombudsman to make a final decision on the complaint.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

The main points in issue in this complaint is whether Covea has acted fairly by;

- Requiring Miss W to pay an excess of £15,000 for the latest claim.
- Recording three subsidence claims on the CUE database.
- Reviewing the risk at 2011 and increasing the premium based on the 2010 subsidence claim.

£15,000 excess
This part of the complaint is inextricably linked to the 2010 claim, which we know Covea treated as a subsidence claim because that's how it recorded the matter on CUE. And indeed, the premium increase was a consequence of recording the 2010 claim as subsidence.

The terms and conditions regarding the relevant excess that Miss W was liable for was notified and changed in 2011. So, on the face of it, the claim recorded for 2017/18 was subject to the £15,000 excess. If though, as Miss W states and the investigator agreed, the later subsidence damage was something related to the damage in 2010 and could have been identified and dealt with in 2010, it might be fair and reasonable for it to be considered all under the 2010 claim. And that would also impact the second and third issues I've identified.

The known facts are that from around 2007 Miss W noted cracks appearing in her home. She was understandably concerned having experienced subsidence damage previously. Relevant experts were informed and Covea accepted a claim in 2010 and appointed C to investigate.

There are no detailed reports from that time and it's apparent from C's letter to Miss W in December 2010 that there weren't any investigations other than superficial – talking to Miss W and looking at the cracks in the property. Within three days of the attendance at Miss W's home, C gave its final reply. I'm mindful of Covea's duties under relevant industry rules (ICOBS) which included;

- handle claims promptly and fairly,
- provide reasonable guidance to help a policyholder make a claim
- not unreasonably reject a claim.

In thinking carefully about what happened in 2010 I note the experts involved in the original subsidence repair recommended further investigation and monitoring of the cracks Miss W had reported. And I'm mindful of Miss W's information that cracks were first noted in 2007. Covea instructed C, as it didn't use the previous experts because it thought they unnecessarily over-investigated things, and C carried out a superficial inspection. But the property had previously suffered subsidence and I think that history, together with previous experts' recommendations, reasonably warranted more than a superficial investigation by C. Indeed, when a more thorough investigation was carried out in later years when Miss W's property was still suffering cracks, the impact of a tree to the front of the property was found to be proximate to the property movement. I am satisfied that Covea should have carried out a more detailed investigation in 2010. And I think it's likely the impact of the tree could have been discovered in so far as whether it was or was not impacting downwards movement.

I've considered the information our investigator obtained from Covea's loss adjuster. He said the extent of the cracking in 2017 was more than was seen in 2010, and there was subsidence in 2010 but within the excess amount. He said it's not inconceivable that it was a consequence of the same downward movement to the front of the building which was discovered as tree related in 2017. The loss adjuster said if movement / cracks had been notified within five years of the visit in December 2010 then it would likely consider the cracking to be a continuation of what was found in 2010. But here, Miss W waited longer than the five years point. I understand why Miss W waited because she thought the cracks were settlement in the same way that had been explained to her in 2010. But I note her information that cracks started to appear again from 2015.

The impact of weather conditions on damage caused by tree root induced clay shrinkage is not a constant – unusually dry and unusually wet conditions will result in more 'visible' movement but that doesn't mean the tree roots aren't having an impact in more stable weather conditions. So, for example, Miss W noted cracks appearing in before 2010 but C dismissed it without anything other than a superficial investigation. When further cracks were reported later, and a full investigation done, the impact of the tree became apparent. But I'm not persuaded from what Covea has provided, that it has shown on balance the cracks in 2010 weren't related to the tree.

Now, the other way to look at it is whether Miss W has demonstrated on balance that the 2010 cracks were a consequence of tree root induced subsidence. Her property had a recent history of subsidence and new cracks were considered worthy of monitoring and further investigation by the experts involved with the initial claim. Miss W did what she considered the right thing in reporting the damage and there was nothing more she could reasonably have done at that time. Miss W has said that cracks appeared before she contacted C in 2017 but she was under the impression that these were more settlement cracks, like she was told by C in 2010.

I should say this is finely balanced but weighing everything carefully I'm satisfied it's fair and reasonable the £1,000 excess should apply. The fact that cracks appeared after 2010, in a way that's been recognised as a result of the relationship between weather conditions and the tree roots, I'm persuaded it's fair and reasonable to conclude that the cracks noted by Miss W in 2015/16 and reported in 2017 are likely to be related by cause (tree roots) to those in 2009/10. And in all likelihood, this was a continuation from 2010 given the finding that the original subsidence work completed in 2002/3 remained in good order.

Three subsidence claims or two
This isn't straightforward but as I'll explain I think the fair outcome is for two claims to be recorded. On the information available it appears that since the tree has been removed Miss W's property has become stable. So, it reasonably follows in my view that a fair investigation in 2010 would have identified the tree root issue and that would have been dealt with. The consequences of that would have been stability as is seen in Covea's latest investigations. I'm satisfied Covea must amend the CUE database to record two claims.

Premium increases
Given I'm satisfied Miss W had a valid subsidence claim in 2010 I'm persuaded Covea acted fairly by including that in its review of the risk and the impact of that risk on the premium payable. I'm not persuaded Covea needs to do anything about this.

my final decision

I uphold this complaint and require Covea Insurance Plc to do the following;

- Record the 2017 claim as commencing in 2010
- Amend the CUE database to record the fact so two subsidence claims are recorded rather than three
- Apply the policy excess applicable in 2010, which is £1,000
    - For the avoidance of doubt, future subsidence claims will be subject to the current policy excess

Under the rules of the Financial Ombudsman Service, I'm required to ask Miss W to accept or reject my decision before 30 October 2020.

Sean Hamilton
ombudsman